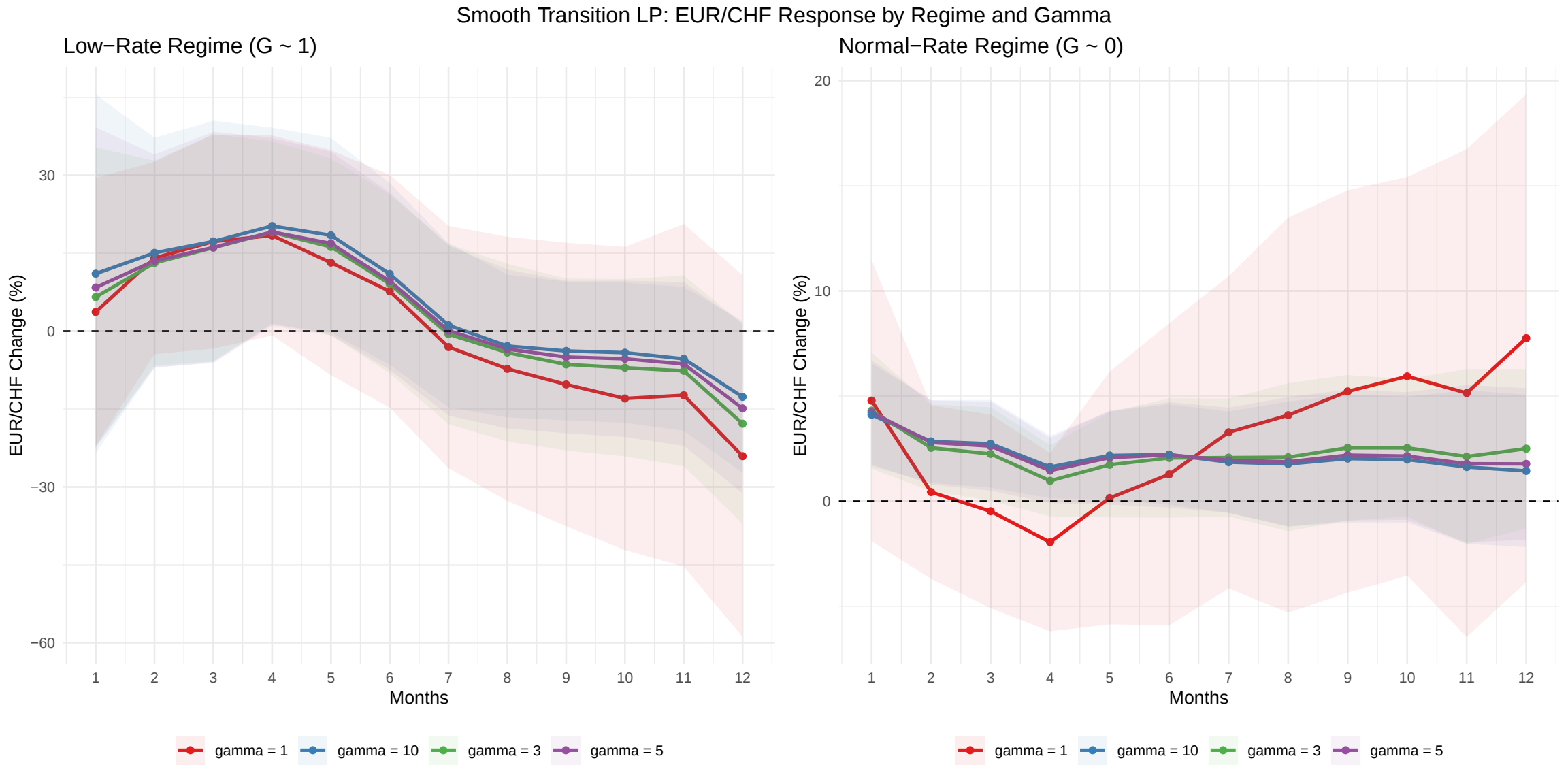
Smooth Transition LP: EUR/CHF Response by Regime and Gamma
Low−Rate Regime (G ~ 1)
Normal−Rate Regime (G ~ 0)
EUR/CHF Change (%)
30
0
−30
−60
20
10
0
1
2
3
4
5
6
7
8
9
10
11
12
Months
gamma = 1
gamma = 10
gamma = 3
gamma = 5